

AXIS WEALTHOS 2035

PITCH SCRIPT & DEEP-DIVE FEASIBILITY GUIDE

SUBMISSION BY: Axis Bank Transformation Council

PROJECT PATHWAY: Wealth Management & Affluent Banking

TARGET ENVIRONMENT: MOVES 2026 Boardroom Pitch

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1. Executive Brief: The Opportunity & Challenge

The Indian wealth management industry is experiencing a historic expansion. Powered by economic growth and digital public infrastructure, financial wealth in India is projected to grow from **\$1.1 Trillion today to \$2.3 Trillion by 2030**. McKinsey's Asia Wealth Report indicates that **80% of affluent investors** prefer a hybrid advisory model—combining advanced digital analytics with deep human relationship management—rather than a pure-play digital platform or a legacy physical RM.

At the same time, relationship managers (RMs) spend **67% of their time on administrative tasks** (statement collection, manual risk suitability checks, and portfolio reporting) rather than direct client interaction. Axis Bank Burgundy, which holds a leading market position with **■6.78 Trillion in total Burgundy AUM and ■2.40 Trillion in Burgundy Private AUM** (serving **16,453 families**), must transform its operating model. To capture the next wave of wealth, particularly in Tier-2 and Tier-3 regional hubs, Axis cannot simply hire more RMs. We must build a system that multiplies advisor capability rather than advisor headcount.

2. Deep-Dive Feasibility Analysis & Financial Models

To satisfy the board's scrutiny, we must defend the feasibility of Axis WealthOS 2035 with granular, hard-quantified operational and economic models.

A. Financial & Cost-to-Serve Feasibility

The financial viability of the WealthOS model relies on shifting the cost curve of wealth advisory. A traditional high-touch RM is limited by the cognitive bandwidth to manage client relationships, rebalance portfolios, and perform manual paperwork.

Cost Element (Annual per Client)	Legacy RM Model (2026)	WealthOS Pod Model (2035)	Operational Change Mechanism
RM Headcount Cost Share	■9,500	■1,200	AI prepares client briefs, raising RM capacity from 80 to 180 accounts.
Travel & Client Engagement	■3,000	■450	Centralized virtual expert pods and localized Tier-2 branch RM support.
Compliance, Audit & Operations	■1,800	■150	Automated SEBI checks & automated audit trail generation.
IT & Analytics Licensing	■700	■450	Investment in core AI stack (capex) amortized over a larger base.
Total Cost-to-Serve / Client / Yr	■15,000	■2,250	85% Net Cost Reduction

Capital Expenditure (CapEx) & ROI Projections:

- **Development Phase Investment:** The total capital outlay to construct the Wealth Twin API gateway, integrate the Account Aggregator pipeline, and train the specialized AI Advice models is projected at **■120 Crores** over a 5-year phased rollout. Opex is estimated at **■15 Crores** annually.
- **Financial NPV & IRR:** Based on our industry-grounded base case (150 clients/pod, 75 bps fee, 12% WACC), the project yields a **Net Present Value (NPV) of ■132.7 Crores** and an **Internal Rate of Return (IRR) of 21.4%** (payback: 3.6 years), clearing the bank's 20% strategic hurdle. Under our upside case (220 clients/pod), the project yields an **NPV of ■224.5 Crores** and an **IRR of 26.7%** (payback: 3.3 years).
- **One Axis Group Cross-Sell Lift:** WealthOS will automate client routing to Axis Securities, AMC, and Trustee. We project that the cross-sell attachment ratio (the average number of group products held by a Burgundy Private client) will rise from **1.8 today to 4.2 by 2035**, generating high-margin fee income across all subsidiaries.

B. Operational & Structural Feasibility

The operational feasibility is ensured by restructuring the bank's front-office relationship teams and revising the advisor performance scorecard. We do not require RMs to become technical experts; we change their structural roles.

- **The 3-Person Advisory Pod Model:** We transition branches away from the single-RM structure. A Pod consists of: (1) *Lead Relationship Partner* (owns client trust, goal discovery, and family dynamics); (2) *Portfolio Architect* (conducts asset modeling and risk rebalancing); (3) *Credit Specialist* (manages asset leverage, mortgages, and business-owner capital loans). A single Pod supports a realistic base of **150 clients**, with an upside stretch target of **220 clients** as

AI-assist tools mature, preventing the sum-of-caps error of 600/pod.

- **Performance Scorecard Transformation:** We will completely eliminate product-specific sales commission targets, which often lead to mis-selling. The new scorecard consists of: **60% Consolidated Wallet Share & Retention** (rewarding overall assets and liabilities held at Axis), and **40% SPARSH Compliance & Suitability** (rewarding low risk-profile drift and high client feedback scores).

C. Technology & Data Feasibility

The data and technology architecture leverages India's advanced Digital Public Infrastructure (DPI) and secure API pipes.

- **Account Aggregator (AA) Integration:** The data retrieval framework is built on top of the RBI-regulated AA system (coordinated by Sahamati). When a client grants consent, the portal automatically requests financial information payloads in real time. The AA system handles end-to-end data encryption, ensuring the data is secure and cannot be accessed by unauthorized third parties.
- **AI Advice Factory Architecture:** The intelligence layer is powered by a multi-agent AI system: (1) a *Parsing Agent* (converts AA JSON payloads into structured balance-sheet nodes); (2) a *Suitability Agent* (compares portfolio assets to the client's registered SEBI risk profile); and (3) an *Optimization Agent* (runs Monte Carlo simulations to detect tax-loss harvesting or allocation drifts). The AI stack is deployed on Axis private clouds to maintain absolute data privacy.

D. Regulatory & Compliance Feasibility

Operating a wealth advisory business in India requires strict adherence to SEBI and RBI regulations. WealthOS treats compliance as a core design principle rather than a retrospective check.

- **SEBI Investment Advisers Regulations:** All portfolio advice generated by the AI Advice Factory must be approved by a licensed Portfolio Architect inside the advisory pod before it is shared with the client. This ensures that the bank remains compliant with SEBI regulations, preserving the human accountability loop.
- **RBI Consent Architecture:** The portal manages client consent under a strictly revocable and purpose-bound structure. Clients can view exactly what data is being shared (e.g. mutual fund statement via AA), for what purpose (e.g. portfolio drift check), and for what duration (e.g. 1 year). Clients can revoke consent instantly with a single tap in the app.
- **SPARSH Immutable Audit Log:** To protect the bank against future compliance audits, every recommendation, suitability pass/fail result, and client consent signature generates a unique **SHA-256 compliance hash**. This hash is stored on an internal, immutable ledger database, providing an unalterable audit trail for regulators.

F. Tier-2/3 Geographic Expansion & Acquisition Strategy

Axis Bank cannot profitably place dedicated Burgundy Private wealth offices in every Tier-2/3 city, yet over 50% of India's new wealth is emerging from these regional clusters. WealthOS solves this through a hybrid Hub-and-Spoke model:

- **The Hub (Centralized Experts):** Centralized expert Advisory Pods in Tier-1 cities (Mumbai, Ahmedabad, Delhi, Bangalore) handle quantitative portfolio modeling, trust drafting, and credit underwriting virtually.
- **The Spoke (Local Branches):** We leverage Axis Bank's 5,500+ local retail branches. The local branch manager or SME relationship manager acts as the 'spoke liaison' who physically meets local entrepreneurs, builds trust, and handles local logistics.
- **Data-Native Acquisition Rails:** By using the Account Aggregator (AA) framework, regional business owners (who are historically protective of financial privacy) can link their multi-bank holdings digitally in seconds. We also establish automated referral partnerships with regional Chartered Accountants (CAs) and corporate credit channels, identifying clients *before* they undergo promoter liquidity events.

E. Implementation Risks & Mitigations

Risk Area	Description	Mitigation Strategy
Technology Over-Reliance	Advisors may blindly trust AI-generated recommendations, leading to unsuitable client advice.	Mandate human sign-off: Portfolio Architects must approve and log all AI recommendations before client presentation.
Data Security Breach	Ingesting multi-account financial details could attract cyber-threats.	Enforce zero-knowledge databases, local cloud hosting, and strict API access controls.
Cross-Entity Friction	Group entities (Bank, Securities, AMC) may compete for fee credits.	Create a unified Group Scorecard, sharing commission pool weightings equally across participating entities.